

# Value Nullification Threshold Module (VNTM)

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**Architecture Ecosystem:** Structured Reality Standards™  
**Architecture Family:** VFM® — Value Flow Mechanisms Architecture  
**Parent Standard:** Value Nullification Standard (VNS)  
**Module:** VNTM — Value Nullification Threshold Module  
**Operational Layer:** Value Nullification Threshold Layer  
**Category:** Governance & Enforcement  
**Subcategory:** Value Lifecycle Governance  
**Type:** Core Module  
**Governed Space:** Value Nullification Threshold  
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**AI-Readable:** Yes  
**Authority:** OOF®  
**Protection:** MIP® — Methodology Intellectual Property Protection  
**Canonical Language:** UCL — Universal Canonical Language

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### Canonical Definition

Value Nullification Threshold Module (VNTM) is the second Core Module of the Value Nullification Standard (VNS) within VFM® — Value Flow Mechanisms Architecture.

VNTM governs the identification, definition, qualification, contextualization, assessment, crossing, and recording of the threshold at which previously existing positive value ceases to remain positive within a defined Value Context.

The Module establishes the governed boundary between:

Positive Value

and

Zero-Value Condition.

VNTM receives a qualified Value Nullification Condition from VNCM and determines whether that condition has actually brought the relevant governed value to its applicable zero-value boundary.

Its foundational function is:

to prevent decline, impairment, inactivity, obsolescence, withdrawal, or severe loss from being treated as Value Nullification unless the applicable governed zero-value threshold has actually been reached.

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### Architectural Position

VNTM is the second module within VNS.

It follows:

VNCM — Value Nullification Condition Module

and precedes:

VDMM — DeMonet™ Mechanism Module.

VNCM establishes:

what condition may place existing positive value on a nullification pathway.

VNTM establishes:

whether the governed boundary between positive value and zero value has actually been reached or crossed.

VDMM subsequently governs:

the DeMonet™ mechanism through which the transition into the zero-value condition is represented and governed.

The sequence is therefore:

Condition → Threshold → DeMonet™.

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## VFM® Governance Flow Position

Value Context → Value Origin

→ Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → Value Nullification → Value Restoration

VNTM operates inside the Value Nullification governed space at the decisive boundary between:

remaining positive value

and

zero value.

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## Internal Module Flow

Governed Nullification Condition → Affected Value Identification → Affected Value Dimension Identification → Applicable Value Context Confirmation → Threshold Basis Identification → Threshold Definition → Threshold Evidence Assessment → Threshold Proximity Assessment → Threshold Crossing Assessment → Threshold State Determination → Governed Nullification Threshold Record → VDMM — DeMonet™ Mechanism Module

The internal logic is:

Which value is threatened → where its zero boundary lies → how that boundary is established → whether it has actually been reached → whether the nullification pathway may continue.

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## Operational Space

VNTM governs the space between:

qualified Value Nullification Condition

and

established zero-value boundary crossing.

This operational space includes:

threshold identification; threshold basis; threshold definition; threshold qualification; value-dimension specificity; Value Context specificity; threshold measurement; threshold evidence; threshold proximity; threshold crossing; threshold persistence;

threshold duration; threshold reversibility; threshold uncertainty; threshold sensitivity; threshold dependency; compound thresholds; quantitative thresholds; qualitative thresholds; binary thresholds; conditional thresholds; temporal thresholds; contextual thresholds; dynamic thresholds; threshold state assignment; threshold recording.

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## Threshold Principle

A Value Nullification Threshold is the governed boundary at which the relevant previously existing positive value can no longer legitimately be classified as positive within its defined Value Context.

The threshold answers:

At what governed point does this value cease to remain positive?

The threshold may be numerical.

It may also be functional, operational, temporal, legal, contextual, capability-based, access-based, or otherwise methodologically defined.

VNTM therefore does not assume that every zero-value boundary can be represented by a monetary number.

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## Positive Value → Zero Boundary

The basic VNTM relationship is:

Positive Value

→ Approaching Nullification Threshold

→ Nullification Threshold Reached

→ Zero-Value Boundary Established.

Until the applicable threshold has been reached:

Positive Value Remains.

This remains true even where the value is:

severely degraded; economically unattractive; technologically obsolete; operationally constrained; rarely used; impaired; declining rapidly; close to zero.

Therefore:

Near Zero ≠ Zero.

Threshold ≠ Condition

VNCM may establish that a critical Nullification Condition exists.

That does not establish that the threshold has been reached.

For example:

Loss of Manufacturer Support

may be a legitimate Nullification Condition.

But if an asset can still be operated, maintained, repaired, substituted, repurposed, or otherwise retain positive governed value, the applicable threshold may remain uncrossed.

Therefore:

Nullification Condition  $\neq$  Nullification Threshold Reached.

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## Threshold $\neq$ Nullification Determination

VNTM determines the status of the applicable zero-value boundary.

It does not issue the final Value Nullification Determination.

That responsibility belongs downstream to:

VNDM — Value Nullification Determination Module.

Therefore:

Threshold Reached  $\neq$  Final Nullification Determination.

This separation preserves a controlled sequence between evidence of boundary crossing and formal governance determination.

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## Threshold $\neq$ DeMonet™

VNTM identifies and assesses the boundary.

DeMonet™ governs the value transition mechanism associated with movement from positive value into the zero-value condition.

Therefore:

Threshold defines the boundary.

DeMonet™ governs the transition mechanism.

The concepts must not collapse into one another.

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## Value Dimension Specificity

A Value Nullification Threshold applies to a defined value dimension.

A Value Object may simultaneously carry:

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## Operational Value

Economic Value

Strategic Value

Functional Value

Knowledge Value

Salvage Value

Historical Value

Informational Value

Option Value

One value dimension may reach its threshold while others remain positive.

For example:

Operational Value = 0

while:

Salvage Value > 0.

VNTM therefore prohibits the automatic inference:

One Value Dimension Reaches Zero

→ Entire Value Object Has Zero Value.

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## Value Context Specificity

Thresholds exist within defined Value Contexts.

A technology may reach:

Commercial Value = 0 in Market A

while retaining:

Commercial Value > 0 in Market B.

A machine may reach:

Operational Value = 0 in Production Context A

while retaining:

Training Value > 0 in Educational Context B.

VNTM therefore requires every material threshold determination to remain linked to:

Value Object + Value Dimension + Value Context.

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## Threshold Basis

A legitimate threshold requires an identifiable basis.

The basis may derive from:

defined functional requirements; operational capability requirements; measurable utility; contractual conditions; expiry conditions;

access requirements; economic criteria; technical capability; system availability; recoverable utility; authorized organizational methodology; externally governed determinations; contextual requirements.

The basis must be sufficient to explain:

why this boundary represents zero for this value in this context.

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## Quantitative Threshold

Some Value Nullification Thresholds may be numerical.

Examples may include:

Remaining governed value  $\leq$  defined zero boundary

or:

Required measurable capability = 0.

A quantitative threshold should identify:

measurement basis; unit; calculation method; relevant value dimension; applicable context; uncertainty; effective period.

A numerical value should not be used merely because it creates an appearance of precision.

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## Qualitative Threshold

Some value dimensions cannot legitimately be reduced to a single numerical quantity.

A qualitative threshold may therefore be defined through a governed condition such as:

No remaining capability to perform the value-conferring function.

or:

No remaining legitimate use within the defined Value Context.

or:

No remaining accessible benefit attributable to the Value Object within the governed purpose.

Qualitative thresholds must still be explicit and assessable.

Non-Numerical ≠ Undefined.

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## Binary Threshold

Certain Value Objects may have binary value-conferring properties.

Examples include:

Access Available / Access Unavailable

Right Active / Right Expired

Capability Available / Capability Unavailable

Function Possible / Function Impossible

Where the value dimension legitimately depends on such a binary property, loss of that property may establish the relevant threshold.

But the relationship must be demonstrated rather than assumed.

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## Temporal Threshold

Some value exists only within a defined time interval.

Examples may include:

expiring rights; temporary access; time-limited licenses; perishable opportunities; event-specific capabilities; deadline-dependent benefits.

The threshold may therefore occur at:

T = Defined Expiry Point.

But expiration of one value dimension does not automatically eliminate every other value dimension attached to the object.

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## Conditional Threshold

A threshold may become applicable only where specified conditions are simultaneously satisfied.

For example:

Critical Function Unavailable

No Substitute Exists

No Economically or Operationally Viable Recovery Path

may collectively establish a threshold for a defined operational value.

This is a:

Conditional Value Nullification Threshold.

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## Compound Threshold

Complex Value Objects may require multiple boundary conditions.

A single factor may not be sufficient.

For example:

Market Demand = Near Zero

alone may not establish commercial nullification.

But:

Market Demand = Zero

No Alternative Market

No Internal Use

No Transferable Utility

may establish the applicable commercial-value threshold within the defined context.

VNTM therefore supports:

Single Threshold

and

Compound Threshold.

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## Dynamic Threshold

A threshold may change when the governed context materially changes.

For example:

A minimum performance capability required for positive operational value may increase after a new production process is introduced.

The Value Object may remain unchanged while the applicable threshold changes.

Therefore:

Value Thresholds may be context-sensitive and temporally dynamic.

Any material threshold change must remain traceable.

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## Threshold Proximity

VNTM may govern how close existing value is to its applicable nullification threshold.

Possible states may include:

Distant

Approaching

Near

At Threshold

Beyond Threshold

where the governing methodology supports such distinctions.

Threshold proximity is useful for identifying impending nullification without prematurely declaring zero value.

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## Threshold Crossing

Threshold crossing occurs when the governed evidence establishes that the applicable positive-value boundary has been reached or passed.

The crossing may be:

Progressive

where value gradually declines to the boundary,

or:

Immediate

where an event causes the boundary to be crossed without a prolonged degradation process.

The threshold crossing should identify, where determinable:

when crossing occurred; which value dimension crossed; under which Value Context; what evidence supports the crossing; whether crossing persists; whether uncertainty remains.

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## Threshold Persistence

A threshold may be reached only temporarily.

For example:

A digital capability may become unavailable for six hours and later be fully restored.

Depending upon the governed Value Context, the functional value may legitimately reach zero during the outage.

VNTM therefore distinguishes:

Threshold Reached Temporarily

from

Threshold Reached Permanently.

This distinction becomes important for downstream:

ZVA™

and

ReMonet™

governance.

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## Threshold Reversibility

Crossing a zero-value boundary does not necessarily mean that value can never return.

A threshold may be:

Reversible

Conditionally Reversible

Irreversible

or

Indeterminate.

VNTM records this characteristic without governing the restoration itself.

Restoration belongs downstream to:

VRSS — Value Restoration Standard

and its ReMonet™ mechanism.

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## Threshold Uncertainty

A zero-value boundary may not always be perfectly observable.

Uncertainty may concern:

threshold location; measurement; value dimension; evidence quality; contextual applicability; timing of crossing; persistence; reversibility; compound-condition satisfaction.

VNTM requires uncertainty to remain visible.

Where the evidence cannot establish whether the threshold has been reached, the correct state may be:

Threshold Status Indeterminate

rather than:

Value = 0.

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## Threshold Sensitivity

VNTM may assess how sensitive the threshold determination is to changes in:

assumptions; measurement; context; value definition; input information; temporal conditions; alternative viable uses.

A threshold determination that changes materially under small reasonable variations may require a conditional or indeterminate state.

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## Threshold Evidence

Threshold crossing should be supported by evidence appropriate to the governed value.

Evidence may include:

operational records; technical measurements; capability records; access records; market evidence; contractual records; expiry records; system logs;

lifecycle information; physical observations; authorized external determinations; governed value records.

VNTM does not replace evidence validation, integrity, or audit governance.

It determines what the available governed evidence means for the Value Nullification Threshold.

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## Threshold State Model

VNTM may assign a governed Value Nullification Threshold State.

A minimum state model may include:

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### 1. Not Defined

No legitimate threshold has yet been established for the relevant value dimension and context.

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### 2. Defined

The threshold is established, but the existing value remains materially above it.

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### 3. Approaching

The value is moving materially toward the threshold.

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### 4. At Threshold

Available governed evidence establishes that the applicable zero-value boundary has been reached.

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### 5. Crossed

The relevant value has moved beyond the established positive-value boundary where the methodology permits such representation.

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### 6. Temporarily Reached

The threshold has been reached for a bounded period, but recovery remains possible or has occurred.

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### 7. Indeterminate

Available information is insufficient to determine whether the threshold has been reached.

The threshold state is not itself the final Value State.

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## No Threshold, No Governed Nullification

Where a Value Nullification Threshold cannot be legitimately defined or determined, VFM® should not manufacture a zero-value conclusion merely to complete the lifecycle.

Therefore:

Undefined Threshold  $\neq$  Zero Value.

and:

Insufficient Threshold Evidence  $\neq$  Nullification.

This creates an important protection against arbitrary declarations of worthlessness.

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## Boundary with VNCM

VNCM determines:

What condition may lead to nullification?

VNTM determines:

Where is the zero-value boundary, and has that boundary been reached?

Therefore:

Condition  $\neq$  Threshold.

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## Boundary with VDGS

VDGS governs the weakening, deterioration, or decline of existing positive value.

VNTM governs the boundary at which that positive value ceases to remain positive.

Therefore:

Declining Value  $> 0 \rightarrow$  VDGS

while:

Value reaches governed zero boundary  $\rightarrow$  VNTM/VNS pathway.

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## Boundary with VDMM — DeMonet™

VNTM establishes whether the applicable zero-value boundary has been reached.

VDMM governs the DeMonet™ mechanism associated with the transition from positive value into a zero-value condition.

Therefore:

Threshold Crossing  $\neq$  DeMonet™ Mechanism.

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## Boundary with VNDM

VNTM establishes threshold status.

VNDM determines whether the complete governed basis is sufficient to issue the formal:

Value Nullification Determination.

Therefore:

Threshold State  $\neq$  Nullification Determination.

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## Boundary with VSS

VSS identifies and determines the current governed Value State.

VNTM determines whether a specific value has reached the boundary required for a zero-value state transition.

VSS may subsequently receive the new state resulting from the completed VNS pathway.

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## Boundary with VCS

VCS governs material changes to existing value.

A Value Change may move value toward, to, or across a Nullification Threshold.

VNTM governs the threshold consequence, not the external change itself.

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## Boundary with ORA™

ORA™ may govern the Operational Reality relevant to threshold evidence.

VNTM governs what that reality means for the applicable zero-value boundary.

Operational Failure  $\neq$  Zero Value automatically.

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## Boundary with VALIDOS®

VALIDOS® may validate claims, evidence, methods, or determinations relevant to a threshold.

VNTM owns the methodological governance of the Value Nullification Threshold itself.

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## Boundary with INTEGROS®

INTEGROS® may govern the integrity of threshold evidence and records.

VNTM governs the meaning of that evidence for determining whether the zero-value boundary has been reached.

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## Boundary with ADIT®

ADIT® may audit whether threshold evidence, decisions, records, and changes are observable and reconstructable.

VNTM governs threshold identification and threshold status.

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## Minimum Implementation Framework

A minimum VNTM implementation should establish:

1. Governed Condition Input

Receive the qualified Value Nullification Condition from VNCM.

2. Value Dimension Identification

Identify the exact value dimension potentially reaching zero.

### 3. Value Context Confirmation

Confirm the context within which zero value is being assessed.

### 4. Threshold Basis

Identify the legitimate basis for defining the zero-value boundary.

### 5. Threshold Definition

Define the applicable quantitative, qualitative, binary, temporal, conditional, compound, or other governed threshold.

### 6. Threshold Evidence

Identify the evidence relevant to threshold status.

### 7. Threshold Proximity

Determine whether value remains above, approaches, reaches, or crosses the threshold.

### 8. Persistence and Reversibility

Determine whether threshold crossing is temporary, persistent, reversible, irreversible, or indeterminate where applicable.

### 9. Threshold State

Assign the governed Value Nullification Threshold State.

### 10. Threshold Record

Document the threshold, basis, context, evidence, state, uncertainty, and crossing information.

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## Governance Outputs

VNTM may produce:

Value Nullification Threshold Definition Value Nullification Threshold Basis Record Value Dimension Threshold Record Value Context Threshold Record Quantitative Threshold Record Qualitative Threshold Record Conditional Threshold Record Compound Threshold Record Threshold Evidence Record Threshold Proximity Assessment Threshold Crossing Record Threshold Persistence Record Threshold Reversibility Status Threshold Uncertainty Record Value Nullification Threshold State Governed Nullification Threshold Object

These outputs provide the governed basis for:

VDMM — DeMonet™ Mechanism Module.

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## Use Case 1 — Industrial Asset Reaches Zero

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### Operational Value

A production machine has progressively deteriorated but continues to perform its required manufacturing function.

Its operational value declines substantially.

VNCM identifies:

Loss of critical maintenance capability

as a material Nullification Condition.

VNTM then defines the relevant operational-value threshold:

the machine can no longer perform the required production function within the defined operating context, and no viable supported configuration remains capable of restoring that function under the current operational basis.

Before this point:

Operational Value > 0

even if the machine is inefficient, expensive, or nearing obsolescence.

When the required capability is lost and the threshold evidence establishes that the production function can no longer be performed:

Operational Value → Threshold Reached.

VNTM records:

Operational Value Nullification Threshold State: At Threshold.

This does not declare the entire machine universally valueless.

The machine may retain:

Salvage Value > 0

Material Value > 0

Historical Value > 0

or another positive value dimension.

The threshold applies only to:

Operational Value within the defined production context.

The governed threshold result can then enter the DeMonet™ mechanism.

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## Use Case 2 — Digital License Reaches Its

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### Functional Zero-Value Boundary

An organization holds a software license that provides access to a specialized digital capability.

The license has positive functional value while authorized access remains active.

The governing contract establishes a fixed expiration date, after which:

access terminates;

the licensed capability becomes unavailable;

and

no continuing usage right remains.

VNCM identifies:

License Expiration

as the relevant Nullification Condition.

VNTM defines the threshold as:

termination of authorized access to the value-conferring capability.

Before expiration:

Functional Value > 0.

At the defined expiry point:

Authorized Access = Unavailable

→ Functional Threshold Reached.

VNTM records the threshold crossing.

However, it does not infer:

Software = universally valueless.

The organization may still possess:

historical data value;

knowledge value;

migration value;

or other value associated with related assets.

VNTM therefore establishes precisely:

which value reached zero, in which context, and at which governed boundary.

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## Enterprise Application

VNTM enables organizations to answer a deceptively difficult question:

Where exactly does positive value end?

It can be applied across:

industrial assets; infrastructure; technologies; software; digital capabilities; licenses; contractual rights; datasets; intellectual property; products; services; organizational capabilities; AI systems; autonomous systems; operational systems.

Its primary enterprise value is methodological discipline.

Organizations frequently know that value has declined but lack an explicit basis for determining when that decline becomes zero.

VNTM creates that boundary.

It prevents:

declining

obsolete

unused

impaired

unprofitable

inactive

or

unwanted

from being treated automatically as:

zero value.

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## Foundational Principles

A nullification condition does not establish that the zero-value threshold has been reached.

Near zero is not zero.

Severe degradation is not automatically nullification.

A threshold must be defined before threshold crossing can be governed.

A zero-value threshold belongs to a defined value dimension and Value Context.

Zero in one value dimension does not establish zero across all value dimensions.

A threshold may be quantitative without requiring all value to be monetary.

A qualitative threshold must still be explicit and assessable.

A threshold may be temporary, contextual, conditional, compound, or dynamic.

Threshold crossing may be progressive or immediate.

Threshold reached does not automatically mean permanently zero.

Threshold reached does not itself constitute the final Value Nullification Determination.

Undefined threshold does not authorize an arbitrary zero-value conclusion.

The zero-value boundary must be governed before the transition through DeMonet™ can be legitimately established.

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## Canonical Closing Statement

Value Nullification Threshold Module establishes the decisive boundary-control layer of the Value Nullification Standard by defining, contextualizing, assessing, and recording the point at which previously existing positive value ceases to remain positive within a defined value dimension and Value Context. Through explicit governance of threshold basis, threshold type, evidence, proximity, crossing, persistence, reversibility, uncertainty, sensitivity, compound conditions, temporal applicability, and threshold states, VNTM prevents degradation, impairment, inactivity, obsolescence, withdrawal, or severe decline from being prematurely interpreted as zero value. By separating Nullification Conditions from Nullification Thresholds, threshold crossing from DeMonet™, and threshold status from formal Value Nullification Determination, VNTM creates the

methodological boundary required for VFM® to govern the transition from positive value toward a legitimate zero-value condition without erasing remaining value in other dimensions or contexts.

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## Governed Links

→ [Value Nullification Standard \(VNS\)](#)

→ [VFM® Architecture Map](#)

→ [Previous: Value Nullification Condition Module \(VNCM\)](#)

→ [Next: DeMonet® Mechanism Module \(VDMM\)](#)

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